

HOUSE BILL 2318

By Gillespie

AN ACT to amend Tennessee Code Annotated, Section 4-4-116 and Chapter 512 of the Public Acts of 2025, relative to the joint committee on ways and means.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 4-4-116(a)(4), is amended by deleting the subdivision and substituting instead the following:

"Recipient" means the administrative office of the courts or any executive department or agency or other body of the executive branch of state government, including the office of the comptroller of the treasury and the departments of state and the treasury.

SECTION 2. Tennessee Code Annotated, Section 4-4-116(b), is amended by deleting the language "and except as otherwise provided in subsection (d)".

SECTION 3. Tennessee Code Annotated, Section 4-4-116(c)(1), is amended by deleting the following language:

Except as otherwise provided in subdivision (c)(3), prior to the submission of any application for federal aid or, if there is no application required, prior to the acceptance of federal aid in an amount that is less than twenty-five million dollars (\$25,000,000):
and substituting instead:

Except as otherwise provided in subdivision (c)(3), prior to the submission of any application for federal aid in an amount that is less than twenty-five million dollars (\$25,000,000) and prior to the acceptance of federal aid in such amount, regardless of whether an application is required:

SECTION 4. Tennessee Code Annotated, Section 4-4-116(c)(2), is amended by deleting the following language:

Prior to the submission of any application for federal aid or, if there is no application required, prior to the acceptance of federal aid in an amount that is equal to or exceeds twenty-five million dollars (\$25,000,000):

and substituting instead:

Prior to the submission of any application for federal aid in an amount that is equal to or exceeds twenty-five million dollars (\$25,000,000) or, if there is no application required, prior to the acceptance of federal aid in such amount:

SECTION 5. Tennessee Code Annotated, Section 4-4-116(c)(2), is amended by deleting subdivisions (A) and (B) and substituting instead the following:

(A) The recipient must notify the joint committee on ways and means of the application and such proposed acceptance;

(B) The committee may hold a hearing to review the proposed acceptance of the federal aid or may issue notice that a hearing will not be held. If a hearing is held, then the committee must vote to approve or not approve the proposed acceptance of the federal aid. If the committee approves the proposed acceptance of the federal aid, then the recipient may accept the federal aid. If the committee does not hold a hearing or otherwise fails to disapprove the proposed acceptance within thirty (30) days of receiving notice from the recipient, then the recipient may accept the federal aid; provided, that, upon agreement of the chairs of the committee, as evidenced by written or electronic notification to the directors of the office of legislative budget analysis and fiscal review committee, the committee may extend the thirty-day period up to an additional thirty (30) days if notice is provided to the recipient and upon a determination that the extension would not adversely impact acceptance of the federal aid; and

(C) If the federal aid would be in the form of a loan or other indebtedness requiring repayment by the state, the application or acceptance of such federal aid must be submitted for review and approval by the funding board.

SECTION 6. Tennessee Code Annotated, Section 4-4-116(c)(3)(A), is amended by deleting the language "the requirements of subdivision (c)(2)(A) for federal aid in an amount that is less than twenty-five million dollars (\$25,000,000)" and substituting instead the language "the requirements of subdivisions (c)(2)(A) and (B) regardless of the amount of federal aid".

SECTION 7. Tennessee Code Annotated, Section 4-4-116(c)(3)(B), is amended by deleting the language "may exempt any recipient from the requirements of subdivisions (c)(2)(A) and (c)(3)" and substituting instead the language "may exempt any recipient or proposed acceptance of federal aid from the requirements of subdivisions (c)(2)(A) and (B) or subdivision (c)(3)".

SECTION 8. Tennessee Code Annotated, Section 4-4-116(c)(4), is amended by deleting the language "providing notice of acceptance" and substituting instead the language "providing notice".

SECTION 9. Tennessee Code Annotated, Section 4-4-116(c), is amended by adding the following as a new subdivision:

(5) Notwithstanding subdivision (c)(1), upon agreement of the chairs of the committee, as evidenced by written or electronic notification to the directors of the office of legislative budget analysis and the fiscal review committee, the committee may hold a hearing to review the application or acceptance of federal aid reported to the committee pursuant to subdivision (c)(1)(A).

SECTION 10. Tennessee Code Annotated, Section 4-4-116(d)(1), is amended by deleting the language "Except as otherwise provided in subdivision (d)(2), the following are exempt from the requirements of subdivisions (c)(1)(A) and (c)(2)(A)" and substituting instead

the language "The following are exempt from the requirements of subdivisions (c)(1)(A) and (c)(2)(A) and (B)".

SECTION 11. Tennessee Code Annotated, Section 4-4-116(d)(1)(D), is amended by deleting the subdivision.

SECTION 12. Tennessee Code Annotated, Section 4-4-116(d), is amended by deleting subdivision (2) and substituting instead the following:

(2) Except as provided in subdivision (d)(1):

(A) A recipient of federal aid that is awarded on an annual basis and distributed in multiple installments throughout the year must comply with subdivision (c)(1)(A) or subdivisions (c)(2)(A) and (B), as applicable; provided, that notice and any review and approval by the committee is only required prior to the application and acceptance of the first installment for that year; and

(B) A recipient of federal aid that is awarded, allocated, or disbursed to the state on an annual basis as part of a multi-year grant or program must comply with subdivision (c)(1)(A) or subdivisions (c)(2)(A) and (B), annually.

SECTION 13. Tennessee Code Annotated, Section 4-4-116(d)(1), is amended by adding the following as a new subdivision (C) and redesignating the existing subdivisions accordingly:

Federal formula grant program funds for transportation, including, but not limited to, funds awarded pursuant to the federal aid highway program;

SECTION 14. Tennessee Code Annotated, Section 4-4-116(g), is amended by deleting the language "February 1" and substituting instead the language "February 15".

SECTION 15. This act takes effect July 1, 2026, the public welfare requiring it.